

in the Dow Jones average, it was one of my first successes as a young analyst at Fidelity. In December, 1970, I wrote a sell recommendation on Inco at \$47⁷/₈. The fundamentals looked bleak to me. My argument (nickel consumption slowing down, increased capacity among producers, and high labor costs at Inco) convinced Fidelity to sell the large position it held in the stock; and we even accepted a slightly lower price in order to find a buyer for our big block of shares.

The stock went sideways into April, when it still sold for \$44¹/₂. I was beginning to worry that my analysis was faulty. Around me were portfolio managers who shared my concern, and that's putting it mildly. Finally reality caught up with the market and the stock fell to \$25 in 1971, \$14 in 1978, and down to \$8 in 1982. Seventeen years after the young analyst recommended the Inco sale, the older fund manager bought a large position for Fidelity Magellan as a turnaround.

SEPARATING THE DIGITALS FROM THE WAL-MARTS

If you can't figure out what category your stocks are in, then ask your broker. If a broker recommended the stocks in the first place, then you definitely ought to ask, because how else are you to know what you're looking for? Are you looking for slow growth, fast growth, recession protection, a turnaround, a cyclical bounce, or assets?

Basing a strategy on general maxims, such as "Sell when you double your money," "Sell after two years," or "Cut your losses by selling when the price falls ten percent," is absolute folly. It's simply impossible to find a generic formula that sensibly applies to all the different kinds of stocks.

You have to separate the Procter and Gambles from the Bethlehem Steels, and the Digital Equipments from the Alicos. Unless it's a turnaround, there's no point in owning a utility and expecting it to do as well as Philip Morris. There's no point in treating a young company with the potential of a Wal-Mart like a stalwart, and selling for a 50 percent gain, when there's a good chance that your fast grower will give you a 1,000-percent gain. On the other hand, if Ralston Purina already has doubled and the fundamentals look unexciting, you're crazy to hold on to it with the same hope.

If you buy Bristol-Myers for a good price, it's reasonable to think you might put it away and forget about it for twenty years, but you wouldn't want to forget about Texas Air. Shaky companies in cyclical industries are not the ones you sleep on through recessions.